IN THE MATTER OF A HEALTH AND SAFETY INVESTIGATION

PENNINGTON INDUSTRIES LIMITED

(Incident of 14 January 2026 — HSE reference WM/DUD/2026/0117)

ADVICE

Privileged and confidential — subject to legal professional privilege

Introduction

1. I am asked by Whitfield Carter LLP to advise Pennington Industries Limited ('the Company') on (i) its likely exposure to prosecution by the HSE arising from the incident of 14 January 2026, (ii) the characterisation of culpability and harm under the Sentencing Council's Definitive Guideline, and (iii) the strategy for engagement with the HSE, including any basis of plea.

Liability

2. On the material I have seen — including the internal investigation report and the forensic report of Wraysbury Materials Laboratory — the Company is, in my view, very likely to be found to have breached section 2(1) HSWA and regulation 11 PUWER in respect of PT-DB-07. The interlock failed to prevent access to a dangerous part of machinery in motion, and the failure would have been detected by the function testing that should have been, but was not, carried out. I see no realistic prospect of successfully defending the existence of a breach, and I do not advise the Company to attempt to do so. The realistic question is not whether there was a breach but how the offence is characterised for sentence.

Culpability

3. The HSE may press for high culpability, on the footing that the risk from inadequately guarded machinery is obvious and that the failure to function-test was a serious systems failure. I consider the better characterisation is medium. The hazard was, in fact, guarded: the Company had designed in an engineered interlock as the primary control. What failed was the maintenance of that control on a single machine, through a lapse in function testing, against a background of an otherwise operative safety-management system and a clean enforcement history. That is properly medium culpability — a failure to put in place a sufficiently reliable system to maintain a control — rather than high. I would resist high culpability firmly but realistically.

Harm

4. The seriousness of harm risked is Level A (the risk of amputation and serious permanent injury, which was realised). Likelihood of harm I assess as medium. Harm was realised; there was no exposure of multiple persons. The resulting harm category is 2. I do not advise contesting harm category 2.

Likely financial outcome

5. The Company is a medium organisation (turnover circa £48m). For medium culpability and harm category 2, the Guideline starting point is £540,000 (range £250,000–£1,300,000). Applying the substantial available mitigation — prompt reporting, full co-operation, swift and thorough remediation, genuine remorse, and clean history — I would expect a figure before plea credit of the order of £400,000, reducing to approximately £266,000 with full credit for an early plea, together with the HSE's costs. If, contrary to my view, high culpability were established, the starting point would be £1,100,000 and the

outcome materially higher; that is the principal litigation risk and the reason to invest in agreeing the basis.

Strategy

6. I advise the Company to (i) continue full and demonstrable co-operation and complete its remediation, documenting it carefully; (ii) make focused open representations directed at securing medium culpability and harm category 2, while not contesting the breach; (iii) seek to agree a written basis of plea with the HSE that fixes those characterisations before any plea; and (iv) if prosecution follows on an agreed basis, enter an early guilty plea to secure full credit. This approach gives the Company the best prospect of the lower of the two realistic outcomes.

HARRIET STANFORD

Eldon Chambers, London

21 March 2026